

Having internationally accepted auditors and highly regarded local board members may not provide sufficient protection. Satyam Computer Services Limited, often called “India’s Enron,” was audited by the Indian affiliate of PricewaterhouseCoopers, and its board of directors included a preeminent technologist, an accounting professor from a leading American business school, and highly regarded former government officials. Satyam was regarded as a leading global information technology company. In 2008, it reported revenues of over \$2 billion, employed over 53,000 employees, and operated in 66 countries. In 2004, its ADRs were listed on the New York Stock Exchange, and the World Council for Corporate Governance awarded it the “Golden Peacock Award” for excellence in corporate governance. But on January 7, 2009, Satyam’s founder and CEO, Ramalinga Raju, shocked the markets when he confessed that Satyam had overstated its cash balances by over \$1 billion and understated its liabilities by \$252 million. He had siphoned funds out of Satyam to pay for real estate investments made by private companies owned by his family.

Identifying competent and ethical managements is not necessarily difficult. Graham and Dodd’s financial analysis must be combined with Phil Fisher’s scuttlebutt methods.⁸ As in many U.S. small towns, reputations are well-known among locals—another reason why creating a local network is critical. Proof of actual cash flow generation, such as dividends or share buybacks at attractive prices, is also important.

INTERNATIONAL CREDIT INVESTMENTS

Investors need to look beyond the legal formalities associated with their investments. Yes, bonds and loans are legal contracts between debtors and creditors, but they are only valuable if enforceable. Credit investors in international markets must thoroughly understand the

⁸ Phil A. Fisher, *Common Stocks and Uncommon Profits* (later printing), New York, Harper & Brothers Publishers, 2022.